

BEFORE THE FEDERAL MARITIME COMMISSION

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC.,

and

BEIJING CENTURY JOYO COURIER SERVICE CO.,

LTD.,

Respondents.

DOCKET NO. 25-04

**RESPONDENTS' REPLY IN SUPPORT OF
MOTION TO DISMISS THE AMENDED COMPLAINT**

Pursuant to Rule 70(c) of the Commission's Rules of Procedure, 46 C.F.R. § 502.70(c), and the April 1, 2025 Order in this proceeding, Respondents Amazon.com Services LLC ("Amazon"), Amazon Logistics, Inc. ("ALI"), and Beijing Century Joyo Courier Service Co., Ltd. ("BCJ") file this Reply in support of their Motion to Dismiss the Amended Complaint in its entirety.

China United Lines, Ltd. ("CUL") does not dispute that the basis of its claim is that Amazon, after initially terminating a two-year service contract (the "Contract") for convenience one year into its term, then asserted grounds CUL terms "pretextual" to terminate it for cause. *See* CUL Opp. at 1. Nor does CUL challenge Respondents' statement of applicable law. CUL provides no legal basis to turn this contractual dispute into Shipping Act claims within the Commission's jurisdiction. CUL's reliance on two separate declarations is an implicit admission that its Amended Complaint is insufficient, and CUL is left to argue that it should be allowed to take unnecessary discovery. The Amended Complaint should be dismissed in its entirety.

I. COUNT I, THE ONLY CLAIM THAT CAN BE BROUGHT AGAINST RESPONDENTS AS SHIPPERS, FAILS TO STATE A CLAIM UNDER LONGSTANDING PRECEDENT

CUL concedes that Count I of the Amended Complaint, which alleges a violation of 46 U.S.C. § 41102(a), requires an element of falsification, deception, fraud, or concealment, and that a practice that is open and above-board cannot be a violation. *See* CUL Opp. at 10-13 (citing *Pacific Far East Lines - Alleged Rebates to Foremost Dairies, Inc., Connell Brothers Co., Ltd., & Advance Mill Supply Corp.*, 10 S.R.R. 1, 6 (FMC 1968), *aff'd*, 410 F.2d 257 (D.C. Cir. 1969); *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963); *Muhammad Rana v. Michelle Franklin d/b/a/ "The Right Move," Inc.*, Dkt. No. 19-03, 2022 WL 1744905 (FMC May 25, 2022) and *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)). CUL miscites these decisions. Three of the four *rejected* a Section 41102(a) claim on the ground that the required false, deceptive, fraudulent, or concealed conduct had not been shown, and the fourth alleged repeated false statements by an NVO as to whether it had paid a carrier for shipments, conduct far afield from what CUL alleges here,. Neither the Commission nor any court has ever accepted a Section 41102(a) claim on facts anything like those alleged here. To the contrary, a decision issued after Respondents' Motion to Dismiss was filed, but before CUL filed its opposition, expressly distinguished *Rana* in dismissing a case where, as in this one, a complainant sought to turn a business dispute into a violation of Section 41102(a) by making baseless allegations of fraud. *See Samsung Electronics America, Inc., v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17, 2025 WL 1036409 (ALJ March 31, 2025), *motion for leave to appeal filed* April 16, 2025.

CUL alleges that "Amazon induced Complainant to enter into a Service Contract at discount rates based on a false representation that they would fulfill the MQC or pay liquidated damages." CUL Opp. at 10. CUL asserts that the "deceptive conduct was to use the pretextual

‘for cause’ termination as a fraudulent means or device to delete the MQC and avoid liquidated damages, after reaping the benefits of discounted contract.” *Id.* This characterization does not accurately describe the allegations of the Amended Complaint, which alleges that Amazon terminated the Contract on a “pretextual” basis well into its term, conduct that could not have “induced” CUL to enter into the Contract. *See* CUL Opp. at 12 (“Despite the availability to Respondents’ of alleged grounds for a termination “for cause” as early as August 2022, Respondents deliberately withheld this information and continued to use the Service Contract until it was no longer advantageous for them.”); *see also* Am. Compl. ¶ 30 (“After the contract was validly terminated by Amazon for convenience, ‘effective as of May 30, 2023’ per Amazon’s written notice, and was no longer in effect, Amazon attempted to revise the termination to “for cause” as a pretext to avoid paying the contractual liquidated damages.”). But even if this theory were supported by the allegations of the Amended Complaint, it would not state a Section 41102(a) claim.

In *Samsung Electronics*, Judge Chintella held that similar allegations that a shipper was attempting to “get the benefit of the service contract to which it agreed without paying the agreed upon price” were insufficient to state a claim. *Samsung Electronics*, 2025 WL 1036409, at *3. In *Samsung Electronics*, the carrier argued, as CUL does here, that the carrier was taking an improper action under the service contract, that the shipper “should have known” its legal position was wrong (citing *Hohenberg*), and that the shipper was thus improperly trying to obtain carriage at contract rates without complying with the contract. *Id.* Noting that the required element of concealment was missing, , Judge Chintella noted that asserting contractual and statutory rights under a contract and in a regulatory proceeding open and known to the parties could not amount to a claim under Section 41102(a). *Id.*, at *3-4. CUL does not and cannot argue that it was unaware

of the unauthorized publicity provision contained in Section 7(2) of the Contract it negotiated with Amazon that forms the basis of Amazon's counterclaim,¹ thus CUL likewise fails to state a claim.

Judge Chintella also correctly rejected the argument, which CUL puts forth here, that Section 41102(a) is designed to be a generalized anti-fraud provision. *See* CUL Opp. at 11 (arguing “*fraudulent* devices or means used to obtain lower rates are equally as violative of 46 U.S.C. § 41102(a)”) (emphasis in original). As Judge Chintella ruled, “[s]howing SEA was deceitful or dishonest in some respect unrelated to obtaining or attempting to obtain lower rates is not sufficient; fraud or concealment must be the means by which SEA obtained or tried to obtain lower rates.” 2025 WL at 1036409, at *4 (citing *Rana*, 2022 WL 1744905, at *8). Here, the “pretext” CUL alleges was an attempt to avoid paying liquidated damages for a termination that the Contract expressly provides for, not an attempt to obtain lower rates on specific shipments through false statements.

The case law Respondents cited in their Motion to Dismiss squarely supports this conclusion. *See* Resp. Mot. at 8-10. *Hohenberg*, for example, involved the false classification of certain shipped goods where the shipper admitted that it knew of the false classification of the goods but “hoped they would be cleared before the inspector caught up to the shipment.” 316 F.2d at 384. It was not based, as CUL incorrectly argues, on a general assertion that the shipper “should have known” it was taking an incorrect legal position. *See* CUL Opp. at 12. There was knowing and concealed fraud. Similarly, in *Rana* an NVO that the complainant hired to move his household goods failed to pay the ocean freight charges and then made numerous

¹ In Section 7(2) of the Contract, CUL agreed it would not use Amazon's trade name, trademark, service mark, logo, commercial symbol, or any other proprietary rights without Amazon's prior written consent.

misrepresentations and illusory promises to induce the complainant to pay the charges himself. These clear and express misrepresentations as to identified shipments starkly contrast with CUL's allegation here that Amazon asserted a contractual right that CUL alleges it "should have known" was pretextual.

CUL's contention that it has adequately alleged "fraud and concealment to avoid payment of liquidated damages under the Service Contract," *see* CUL Br. at 10 (citing Am. Compl. ¶¶ 27-37, 40-46), is further undermined by the fact that CUL does not use the words "fraud," "conceal," or "concealment" anywhere in the Amended Complaint, much less provide allegations of conduct that would support such an allegation. This is insufficient to state a claim. *See, e.g., U.S. v. Open Bulk Carriers*, 727 F.2d, 1061, 1064 (11th Cir. 1984) (no violation where shippers improperly combined shipments as if they were NVOs or a shippers' association to obtain lower rates where there was no effort to conceal the conduct).

As the Commission held in *Pacific Far East Lines*, the words "other unjust or unfair device or means" in sections 41102(a) and 41104(a)(1) must have a "restrictive meaning derived from their proximity to the words false billing, etc." 10 S.R.R. at 8. These provisions do not provide a cause of action any time a party attaches the word "fraud" to conduct it disagrees with. CUL alleges that Amazon was trying to avoid payment of liquidated damages, not to obtain lower rates on shipments.

CUL's arguments in support of Count I fail for several other reasons. First, CUL's theory that Amazon always intended to breach the Contract fails the plausibility test set out in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662, 679 (2009). If that had been Amazon's intent, it would not have first terminated the Contract for convenience, which would have required Amazon to pay CUL substantial liquidated damages. Only after

Amazon learned of CUL's violation of the publicity clause did Amazon terminate for cause. Second, CUL's new theory that it was fraudulently induced to enter into the Contract is not only inconsistent with the allegations of its Amended Complaint, but also makes even clearer that this is essentially a breach of contract action of the type that should be outside the Commission's jurisdiction.

Count I should be dismissed for failure to state a claim for the reasons stated above.

II. CUL HAS NOT PROVIDED ANY BASIS FOR DISCOVERY AS TO WHETHER RESPONDENTS ALI AND BCJ WERE ACTING AS SHIPPERS, AS THE CONTRACTS EXPRESSLY ESTABLISH THAT THEY WERE

CUL concedes that Counts II, III, and IV of the Amended Complaint cannot be brought against shippers. That is why it has not asserted them against Amazon, the party to the Contract underlying the dispute, and the party it has sued in two other forums. Instead, it asserts them against ALI, which it did not sue in either of these other forums, and BCJ, which it sued in one of them but against whom it made no allegations relevant to any Shipping Act violation.² CUL also does not contest the general rule that, as licensed NVOs, ALI and BCJ are shippers in their relationship with CUL, even if they might be carriers with respect to other shippers from whom they solicit consolidated cargo to ship with CUL. Nor does CUL challenge that ALI and BCJ, like Amazon itself, were expressly identified as shippers under the Contract and Work Order.³ Finally,

² BCJ is named in the Arbitration Request, but the only allegation against it there is that it owns a WeChat site, which does not involve any duties as a common carrier or violate the Shipping Act. *See* Resp. Mot. Attachment E ¶ 4.

³ Section 2(1)(a) of the Work Order defines the shipper as "Amazon and/or the affiliates of Amazon identified in Schedule 3." The Contract and Schedule 3, Sections 9(a)(iii) and (x); 9(b)(i) and (ii) of the Work Order identify ALI and BCJ as two of thirteen "Shippers" who "may secure services under this Work Order." Section 2(1)(a) of the Work Order provides that "a shipper may tender cargo, either directly or through its agents or suppliers, as a beneficial cargo owner ("BOC") or non-vessel operating common carrier ("NVO") as set forth in Schedule 3." *See* Resp. Mot. at 5 & Attach. C.

CUL points to no allegations in the Amended Complaint suggesting that ALI and BCJ, who were not parties to the Contract, took any of the actions they complain of, rather than Amazon itself.⁴

Unable to point to anything that would allow ALI and BCJ to be sued as common carriers under Counts II, III, and IV, CUL argues that it should be allowed to take discovery as to what the contracts expressly and unambiguously confirm—that ALI and BCJ were acting as shippers. CUL Opp. at 14-19. In an effort to support this position CUL asserts that whether an entity is acting as a common carrier requires a case-by-case analysis. *See* CUL Opp. at 14 (citing *Marie Carew D/B/A Holiday Shipping v. Maersk Line A/S*, Dkt. No. 20-17, 2021 WL 5195751, (ALJ Nov. 2, 2021)). No further discovery is required to assess ALI and BCJ’s status in this case, however. Whether ALI and BCJ may be NVOs in some other context is irrelevant because express and unambiguous terms of the Contract and the Work Order confirm they were acting as shippers relative to CUL in *this* case. *See supra* p. 6 & n.3; Resp. Mot. at 4-5, 12-14.

CUL’s opposition entirely ignores the Contract and Work Order on this issue. Rather than look to the circumstances of this case, as the precedent they cite instructs, CUL takes an extended detour into the Commission’s regulations, concluding that the “definition of a ‘Shipper’ eligible to enter a service contract at 46 C.F.R. § 530.3(r) states that a ‘Shipper’ must be either a BCO or an NVOCC.” CUL Opp. at 14-15. Whether ALI and BCJ are BCOs acting as a shipper or NVOs acting as a shipper relative to CUL, each is acting as a shipper. Neither can violate the statutes alleged in Counts II, III, and IV, as they apply only to common carriers, which ALI and BCJ are not with respect to CUL.

⁴ The Amended Complaint makes no factual allegations specific to ALI and BCJ other than that they hold NVO licenses and were allowed to ship under the Contract and Work Order. *See* Am. Compl. ¶¶ 4-5, 7, 17, 57-58, 72, 74.

CUL concedes that, as the Commission held in *Auction Block Co. v. City of Homer*, Dkt. No. 12-03, 2014 WL 5316337 (FMC 2014), *aff'd sub nom. Auction Block Co. v FMC*, 606 F. App'x 347 (9th Cir. 2015), an entity can be a regulated entity for one purpose but not for another, but asserts, without basis, that this should not apply in the context of a common carrier. CUL Opp. at 16-17. CUL's suggestion that the Commission has not applied to common carriers the principle that an entity can be regulated for one purpose and not for others is inconsistent with multiple Commission decisions. *See, e.g., Foreign-to-Foreign Agreements – Exemption*. 25 S.R.R. 455, 462 (FMC 1989) (being an ocean common carrier for some shipments did not make the entity an ocean common carrier for all shipments; no jurisdiction over discharges in Canada even where the carrier discharges cargo both in Canada and in the United States on the same service); *see also Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 646 (D.C. Cir. 1978) (FMC's jurisdictional authority did not include cargo originating from or ultimately bound for U.S. inland destinations that was exported or imported through a foreign port); *Color Brands, LLC v. AAF Logistics Inc.*, 2024 WL 4034609, at *4 (noting “only the shipments that arrive or depart from a United States port are regulated” as common carriage under the Shipping Act and subject to a reparations action).

CUL asserts that “it appears that all entities falling within th[e] all-encompassing definition [of Amazon and its affiliates under the Contract] are commonly owned and controlled, a fact that would be the subject of extensive discovery should the Presiding Officer permit this proceeding to move forward.” CUL Opp. at 18. CUL does not explain how this discovery could make any difference where, as here, all of the entities are acting as shippers under the plain terms of the Contract. *See supra* p. 6 & n.3. CUL suggests that “any regulated entity could potentially reap significant financial benefits from clearly unreasonable behavior that violates the Shipping Act, simply by having one of its unregulated corporate affiliates sign the Service Contract or the

termination notice.” *Id.* This likewise has no relevance to this case. Here the Contract was entered into by Amazon on behalf of thirteen affiliates, only two of which were NVOs acting as shippers. The only party CUL sued in both of its two prior actions regarding this dispute was Amazon, the shipper, and not the NVOs. It is CUL that is seeking to manufacture the Commission’s jurisdiction by naming ALI and BCJ as defendants in an action that challenges the actions of Amazon, a shipper, in terminating a Contract that ALI and BCJ were not parties to.

Finally, CUL repeats its plea that broad, jurisdictional discovery is needed because these already known “facts are inextricably intertwined with the merits of the case.” CUL Opp. at 19. CUL never explains which facts are so intertwined, or what new information might be gained from discovery as to ALI and BCJ’s shipper status that is not already apparent from the plain language of the Contract and the Work Order. *See Food Lion, Inc. v. United Food & Com. Workers Int’l Union, AFL-CIO-CLC*, 103 F.3d 1007, 1013 (D.C. Cir. 1997)(prohibiting discovery where “there is no likelihood that useful evidence might be uncovered,” quoting *In re Fontaine*, 402 F. Supp. 1219, 1221 (E.D.N.Y. 1975)).

Counts II, III, and IV of the Amended Complaint are outside the Commission’s jurisdiction and must be dismissed.

III. COUNTS II, III, AND IV WOULD FAIL TO STATE A CLAIM EVEN IF THEY WERE WITHIN THE COMMISSION’S JURISDICTION

Respondents’ Motion to Dismiss demonstrated that even if Counts II, III, and IV were within the Commission’s jurisdiction, they would nonetheless fail to state a claim. Resp. Mot. at 14-22. CUL has not meaningfully responded to this argument.

A. CUL Has Not Pointed to Any Alleged Conduct by ALI and BCJ That Violates Counts II, III, and IV.

Respondents' Motion to Dismiss pointed out that although Counts II, III, and IV are brought only against ALI and BCJ, they do not contain any allegations that these parties engaged in any of the conduct that purportedly violated the Act. The Amended Complaint does not allege that ALI and BCJ are intertwined with Amazon, or contain any veil-piercing allegations. Nor does CUL's Opposition cite any basis on which ALI and BCJ can be considered responsible for Amazon's conduct. Such a contention would be entirely implausible in any event when they were simply two of many shippers named in the Work Order. The Amended Complaint provides no allegations giving any reason to conclude, or even surmise, that ALI and BCJ were involved in the Shipping Act violations CUL alleges, or could be held responsible for them.

CUL fails to deal with these deficiencies, other than to argue again for discovery to cure them. But these are not matters for which discovery is necessary or appropriate. The Contract and Work Order were entered into directly with CUL, and CUL dealt directly with the shippers operating under them. If there were any basis to allege that ALI and BCJ, as opposed to Amazon, were responsible for any of the conduct alleged, CUL would have been able to make those specific allegations in its Amended Complaint. It failed to do so. Rather, CUL has made only conclusory assertions that ALI and BCJ are corporations that are also NVOs, that they were named affiliates in the Work Order authorized to receive shipping services under it, and that they somehow violated 46 U.S.C. § 41102(c). *See* Resp. Mot. at 15. CUL also makes no attempt to address Respondents' position that the Amended Complaint improperly lumps ALI and BCJ in with Amazon when making undifferentiated and generalized allegations against "Respondents." *Id.* at 16-17.

CUL has provided no defense of Counts II, III, and IV on this ground and they are subject to dismissal for this reason as well.

B. CUL Has Not Properly Alleged A “Practice” In Count II.

As Respondent’s Motion to Dismiss points out, the Amended Complaint alleges a single instance in which the Respondents supposedly acted “pretextually” to terminate Amazon’s Contract with CUL for cause rather than for convenience. CUL attempts to manufacture a claim of unreasonable “practice” by alleging “[o]n information and belief” that “Respondents” have “engaged in similar actions” without further detail. Resp. Mot. at 17-18 (citing Am. Compl. ¶ 52). CUL twists Amazon’s argument that CUL failed to clarify how ALI and BCJ, rather than Amazon, specifically violated Count II, and contends that Respondents “falsely claim[]” that this allegation does not include Amazon as a Respondent. CUL Opp. at 21. Respondents Motion to Dismiss showed that this allegation improperly seeks to include Amazon, which is not subject to Count II and whose conduct cannot be attributed to ALI and BCJ, the parties actually named in this Count. *Id.*

CUL also attempts to support its “practices” claim by citing *GSC Logistics, Inc. v. Amazon.com Services, LLC and Amazon Logistics, Inc.*, No.: 1:23-cv-05368-JGLC (S.D.N.Y.), which supposedly alleges similar conduct by Amazon and ALI. Again, allegations against Amazon, even if they were supported and they are not, would not establish a practice by ALI and BCJ. A review of the *GSC* complaint reveals that it contains only one allegation against ALI itself—that ALI entered into a contract with the plaintiff. *See GSC Am. Compl. ¶ 51.*

Apart from the fact that the allegations in the *GSC* complaint have not been proven in any way, they do nothing to establish a claim of practice against ALI or BCJ. Commission precedent is clear that unsupported speculation that a party “might have acted similarly regarding other

clients past and present [is] insufficient to prove normal, customary, and continuous conduct.” *See Hangzhou Qianwang Dress Co. v. RDD Freight Int’l Inc.*, Dkt. No. 17-02, 2020 WL 5406762, at *4 (FMC Sept. 1, 2020). One ALI-specific allegation in the GSC complaint that ALI is a party to a contract does not establish a prohibited “practice” under Section 41102(c). Count II is thus subject to dismissal on this independent ground as well.

C. Count II does not allege conduct relating to the receiving, handling, storing, or delivering of property, as required to state a claim.

Respondents’ Motion to Dismiss further pointed out that the conduct CUL challenges has nothing to do with the receiving, handling, storing, or delivering of property and thus cannot state a claim under 46 U.S.C. § 41102(c). Resp. Mot. at 18-19. CUL’s claim is based on the termination of a contract by a shipper. Shippers do not receive, handle, store, or deliver property, carriers and marine terminal operators do. *Id.*

CUL’s opposition makes no effort to explain how the conduct it challenges relates to the receiving, handling, storing, or delivering of property. Instead, it argues that the matter “falls within the FMC’s special expertise,” and that the FMC has “read the provision broadly,” citing a decision concerning space allocation for cargo on vessels. CUL Opp. at 23-25. Neither argument addresses the problem. As Respondents pointed out in their Motion, the cases on which CUL attempts to rely directly involve the physical handling of property and CUL’s allegations here do not. Resp. Mot. at 19. Count II remains subject to dismissal on this independent ground as well.

D. Count III cannot state a claim because Count I does not.

Count III of the Amended Complaint alleges a violation of 46 U.S.C. § 41104(a)(1), a provision materially identical to 46 U.S.C. § 41102(a) for purposes of this case. Respondents have demonstrated that Count I fails to state a claim. *See supra* pp. 2-6. CUL makes no effort to argue that Count III can state a claim if Count I does not. Count III thus fails to state a claim for the

same reason as Count I. This is a ground for dismissal independent of the Commission's lack of jurisdiction over this Count as set out above.

E. CUL does not demonstrate how Count IV of the Amended Complaint is within the Commission's jurisdiction.

Count IV alleges a violation of 46 U.S.C. § 41104(a)(2) based on ALI and BCJ's alleged failure to operate in accordance with a filed agreement, namely the Contract between Amazon and CUL. The Commission has held that absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. § 41104(a)(2) is the equivalent of a breach of contract claim that must be dismissed. *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000).

CUL does not present any such unusual circumstances here. Nor does CUL explain how ALI and BCJ supposedly failed to operate in accordance with a filed agreement that neither signed. Count IV is subject to dismissal on this independent ground as well as the jurisdictional ground noted above.

IV. CUL CITES NO LEGAL BASIS FOR COUNT V

Respondents pointed out that Count V cannot state a claim because it does not allege a violation of the Act. Resp. Mot. at 22. CUL's Opposition cites no law at all on this point and fails to identify any provision of the Shipping Act allegedly violated. CUL Opp. at 25-29. Count V thus remains subject to dismissal on this ground alone.

Instead, CUL's discussion of this Count consists of a lengthy rehash of its arguments, untethered to any provision of the Shipping Act. Nor does the discussion make any sense even on its own terms. The question is not, as CUL would have it, whether the parties anticipated the particular facts of the termination dispute that arose; it is whether a potential termination of the Contract, whether for convenience or for cause, was foreseen. *See* 46 C.F.R. § 530.10(c)(3)

(“**Cancellation** means an event which is unanticipated by the service contract.”). The termination provisions, both for cause and for convenience, were negotiated by the parties and memorialized in the Contract, including in the liquidated damages provided for terminations for convenience. *See* Resp. Mot., Attach. A, Section 5(2)-(3); Attach. C, Work Order, Schedule 3, Section 5(4).

CUL protests that “[v]irtually all service contracts have provisions covering termination, and under Respondents’ suggested reading, there could never possibly be a ‘cancellation’ pursuant to the regulation.” CUL Opp. at 27. That is exactly the point. The Commission expressly noted in enacting the regulation CUL cites that it would be an “unlikely event that the service contract is canceled as described in § 530.10 . . . and there is no provision for such cancellation in the terms of the contract itself.” *See* Interim Final Rule, Service Contracts Subject to the Shipping Act of 1984, 64 Fed. Reg. 11186, 11203. That is no doubt why, as the Commission predicted in terming such a circumstance “unlikely,” the regulation has apparently never been the subject of litigation before the Commission. *See id.* at 11200 (“If there is a liquidated damages, or another fall-back rate provision, there will be no need to re-rate the cargo which has already been carried.”), and *id.* at 11198 (“If the termination occurs as anticipated by the service contract we agree . . . that there is no need for additional notice to the Commission.”).

Count V, like the other counts of the Amended Complaint, thus fails to state a claim on multiple grounds and must be dismissed.

CONCLUSION

The Amended Complaint should be dismissed in its entirety, as it fails on numerous grounds to state a claim within the Commission's jurisdiction.

Respectfully submitted,

_____/ s_ John Longstreth ____
Michael F. Scanlon
John Longstreth
Christiana K. Goff
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
christi.goff@klgates.com

Counsel for Respondents

April 29, 2025

CERTIFICATE OF SERVICE

I certify that on this 29th day of April, 2025, the aforesaid Reply in Support of Respondents' Motion to Dismiss, has been filed with the Secretary for the public docket, with a copy to judges@fmc.gov and served on the following counsel of record, as provided by the Initial Order in this proceeding.

Vincent J. Foley
HOLLAND & KNIGHT LLP
787 7th Street
New York, NY 10019
(212) 513-3357
vincent.foley@hklaw.com
Counsel to Complainant

_____/ s / John Longstreth _____
John Longstreth